



Information Item

Date: June 17, 2026

To: Mayor and City Council
From: Aileen Reynolds, Director of Housing and Human Services
Subject: FY 2023–2024 Reports Regarding Proposition R

Introduction

This report concerns the implementation of the City's Affordable Housing Production Program (AHPP) for the reporting period of July 1, 2023, through June 30, 2024 (FY 23–24), as required by Santa Monica Municipal Code Section 9.64.150. Section 9.64.150 establishes that "the City Manager or designee shall submit a report to the City Council on an annual basis which shall contain information concerning the implementation of this Chapter. This report will also detail the developments that have received Planning approval during the previous year and the manner in which the provisions of this Chapter were satisfied. This report shall further assess whether the provisions of Proposition R have been met and whether changes to this Chapter or its implementation procedures are warranted."

Proposition R, approved by Santa Monica voters November 6, 1990, has two affordable housing mandates. First, thirty percent (30%) of new multifamily housing constructed must be affordable to low- and moderate-income households. Second, half (50%) of the total affordable housing constructed must be affordable for low-income households. In short, 50% of 30%, or fifteen percent (15%) of all new multifamily housing must be affordable to low-income households.

This report will evaluate the number of multifamily housing residences completed, under construction, and approved for FY 2023–24. The data reflects steady progress in affordable housing production over the last fiscal year, with 91 affordable residences completed, 243 in construction, and 88 in planning approvals. Attachment B indicates that Santa Monica is

on track with Proposition R and the affordable housing mandates.

Background

Proposition R defines “low-income household” as not exceeding sixty percent (60%) of the Los Angeles County median income, adjusted by family size, and defines “moderate-income household” as not exceeding one hundred percent (100%) of the Los Angeles County median income, adjusted by family size.

Since adoption of Proposition R in 1991 the definition of moderate income has adjusted to one hundred twenty percent (120%) of Los Angeles County median income, as adjusted by family size. The data compiled in this annual report is reflective of the updated moderate income household definition at 120%.

The Affordable Housing Production Program requires developers of new multifamily housing to contribute toward affordable housing production in Santa Monica, either by:

- Constructing affordable residences onsite in a development;
- Constructing affordable residences offsite in another development and fulfilling the off-site requirements.
- Paying an affordable housing fee that is used by the City to subsidize affordable housing developments. Affordable housing fees must be paid by developers prior to final completion of the development and are deposited into the Citywide Housing Trust Fund.
- Dedicating or selling land to the City or a nonprofit housing provider for affordable housing.

Discussion

The table below represents an annual summary of multifamily residences completed in FY 2023–24, of which 91 were affordable residences.

Multifamily Housing Completed FY 2023–24

Fiscal Year	30% AMI	50% AMI	80% AMI	120% AMI	Above Moderate	Total	% Low- & Mod- Income	% Low Income
FY 23–24	65	16	8	2	184	275	33%	32%

* AMI = Area Median Income

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New multifamily housing residences completed in FY 2023–24 met the Proposition R mandate of 30% affordability for low- and moderate-income households. The low-income housing production also met the provision that 15% of all new multifamily housing be affordable to low-income households.

- **33%** of new multifamily housing residences are affordable to low- and moderate-income households.
- **32%** of new multifamily residences are affordable to low-income households.

Multifamily Housing Under Construction FY 2023–24

The table below represents an annual summary of the 849 total multifamily residences that were in construction in FY 2023–24, of which 243 were affordable residences.

Fiscal Year	30% AMI	50% AMI	80% AMI	120% AMI	Above Moderate	Total	% Low- & Mod- Income	% Low Income
FY 23–24	113	37	26	67	606	849	29%	21%

* AMI = Area Median Income

- **29%** of new multifamily housing residences are affordable to low- and moderate-income households.
- **21%** of new multifamily residences are affordable to low-income households.

Multifamily Housing with Planning Approvals FY 2023–24

During FY 2023–24, 9 multifamily developments containing a total of 88 affordable residences received planning approval. The anticipated breakdown by income levels for these residences are as follows:

Fiscal Year	30% AMI	50% AMI	80% AMI	120% AMI	Above Moderate	Total	% Low- & Mod- Income	% Low Income
FY 23–24	0	73	8	7	756	844	10%	10%

* AMI = Area Median Income

A total of 844 new multifamily residences, including 88 affordable to low- and moderate-income households, were approved. This marks a significant increase from the previous fiscal year, which saw only 100 residences approved, and just 25 affordable residences.

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- **10%** of new multifamily housing residences are affordable to low- and moderate-income households.
- **10%** of new multifamily units were affordable to low-income households.

For Fiscal Year 2023–24, the City is on track with Proposition R affordable housing mandates. Further, since the implementation of Proposition R, thirty-five percent (35%) of all newly constructed multifamily housing in Santa Monica is affordable to low- and moderate-income households, and twenty-four percent (24%) is affordable to low-income households. See Attachment B for more detailed information regarding housing production per fiscal year.

The City will continue its commitment to implementing policies that support a diverse range of affordable housing options, addressing both immediate and long-term housing needs in the community. The City has made efforts to utilize City-owned sites to further affordable housing goals, and there are three City-owned sites dedicated to affordable housing currently pending:

- 1318 4th street (122 residences)
- 1217 Euclid (48 residences)
- 1211–1217 14th (82 residences)

Significant revisions to the zoning code and AHPP occurred in 2023 to incentivize greater affordable housing development. In FY 2023–24 there were considerations for amendments to the AHPP, including evaluation of the in-lieu fee to ensure the fee supports the funding and construction of new affordable housing and the consideration of allowing market-rate projects to comply with the off-site option through acquisition and rehabilitation of existing rental units. However, considering new changes to the State Density Bonus law, further changes to the AHPP will not be implemented. The State Density Bonus law incentivizes the provision of additional on-site affordable housing, and it was therefore determined that providing off-site options or mixed compliance options would not be needed to further the City's affordable housing goals.

Attachment A

Completed Multifamily Development by Address in FY2023–24

Project ID	Address	Street	Description	Zoning	Final Date	Above Moderate	VLI	LI	Moderate
20ENT-0020	1413	Michigan Ave	100% Affordable Housing	NC	05/23/2024		57	1	
19ENT-0028	2729	Wilshire Blvd	Mixed use Project with Commercial	MUB	1/31/2024	8		1	
17ENT-0275	1235	5th St	Mixed Use	NV	1/25/2024	18	2	1	2
19ENT-0123	930	15th St	3-Unit Condos	R2	11/17/2023	3			
16ENT-0035	2903-2931	Lincoln Blvd	2903-2931 Lincoln Boulevard Mixed Use	GC	11/17/2023	43	4		
12DEV-017	1560	Lincoln Blvd	Mixed Use DA (Denny's site)	MUB	11/2/2023	80	15	5	
17ENT-0096	1450	Cloverfield	Mixed Use	MUBL	9/21/2023	32	3		
Total						184	81	8	2

Attachment B

Cumulative Proposition R Achievements

Reporting Period (Fiscal Year)	Total Residences	Market-Rate Residences	Affordable Residences (Low & Moderate)	Percent Affordable	Percent Very Low- and Low-Income Residences	City-Funded Affordable Residences	Percent Affordable City-Funded	Prop R Compliance Achieved Due to City Funding
1994-95	11	9	2	18%	18%	0	0%	N/A
1995-96	0	0	0	0%	0%	0	0%	N/A
1996-97	108	10	98	91%	36%	95	97%	Yes
1997-98	111	43	68	61%	40%	60	88%	Yes
1998-99	168	22	146	87%	33%	91	62%	No
1999-00	166	43	123	74%	72%	120	98%	Yes
2000-01	420	311	109	26%	14%	120	18%	N/A
2001-02	702	491	211	30%	22%	110	52%	Yes
2002-03	212	211	1	0%	0%	0	0%	N/A
2003-04	235	195	40	17%	12%	13	33%	N/A
2004-05	55	29	26	47%	27%	0	0%	No
2005-06	39	37	2	5%	0%	0	0%	N/A
2006-07	272	186	86	32%	32%	85	99%	Yes
2007-08	296	201	95	32%	32%	91	96%	Yes
2008-09	537	289	248	46%	15%	82	33%	No
2009-10	189	169	20	11%	7%	20	100%	N/A
2010-11	134	126	8	6%	6%	0	0%	N/A
2011-12	156	55	101	65%	2%	0	0%	No
2012-13	483	237	246	51%	31%	145	59%	Yes
2013-14	458	201	257	56%	56%	253	98%	Yes
2014-15	157	127	30	19%	7%	0	0%	N/A
2015-16	175	141	34	19%	19%	32	94%	N/A
2016-17	100	87	13	13%	12%	0	0%	N/A
2017-18	46	44	2	4%	2%	0	0%	N/A
2018-19	116	48	68	59%	58%	0	0%	No
2019-20	85	78	7	8%	5%	0	0%	No
2020-21	559	458	101	18%	17%	39	39%	N/A
2021-22	268	211	57	21%	20%	40	70%	N/A
2022-23	484	320	164	34%	32%	158	96%	Yes
2023-24	275	184	91	33%	32%	106	100%	N/A
Total	7017	4563	2454	35%	24%	1560	84%	N/A

Attachment C

Multifamily Development Under Construction by Address

Address	Street	# of Units	% Affordable	Building Permit Date	30% AMI	50% AMI	80% AMI	120% AMI	Above Moderate
1541	Franklin St	5	20%	7/31/2017				1	4
212	Bay St	3	0%	6/12/2018	in-lieu fee				3
122	Strand St	3	0%	6/3/2019	in-lieu fee				3
2512	7th St	3	0%	6/24/2019	in-lieu fee				3
1900	20th St	3	0%	1/12/2019	in-lieu fee				3
949	10th St	3	0%	10/13/2021	in-lieu fee				3
3223	Wilshire Blvd	53	8%	12/2/2021	4				49
601-611	Wilshire Blvd	40	8%	1/10/2022	3				37
2501	2nd St	3	0%	1/19/2022	in-lieu fee				3
1348	10th	1	0%	2/1/2022					1
711	Colorado Ave	56	100%	3/4/2022	17			39	
3004	Broadway	4	0%	4/7/2022	in-lieu fee				4
1413	Michigan Ave	58	100%	6/6/2022	57		1		
1650-1660	Lincoln Blvd	98	8%	8/29/2022	8				90
1430-1444	Lincoln Blvd	100	0%	11/7/2022	offsite affordable at 711 Colorado Ave				100
1121	22nd St	3	0%	2/7/2023	in-lieu fee				3
2425	20th	3	0%	2/7/2023	in-lieu fee				3
710	Broadway	280	30%	02/22/2023	16	16	25	27	196
501	Broadway	94	20%	10/17/2023		19			75
1546	9 th	9	22%	12/11/2023		2			7
1342	Berkeley	8	100%	05/13/2024	8				
2002-2008	21 st	19	0%	05/21/2024					19
Total		849	30%		113	37	26	67	606

Attachment D

Multifamily Development with Planning Approvals

Project ID	Address	Street	Description	Zoning	Final Date	Moderate	LI	VLI	Above Moderate
23ENT-0109	825	Santa Monica Blvd	Mixed Use 7 story	GC	6/4/2024	4	5	5	85
24ENT-0039	1230	Ashland	SB9 Lot Split and Duplex	R1	5/21/2024				8
23ENT-0121	700	Santa Monica Blvd	Mixed use 5 story (also 1407 7th)	NV	3/29/2024	3	3	4	89
23ENT-0235	1101	Stanford	SB9 Lot Split and Duplex	R1	2/13/2024				8
22ENT-0308	2600	Wilshire Blvd	Mixed Use	MUB	2/5/2024			5	40
22ENT-0082	1553-1555	4th St	Mixed Use (also 407 Colorado Ave)	TA	12/14/2023			6	54
22ENT-0073	2601-2645	Lincoln Blvd	Mixed Use (Gelsons site)	MUBL	11/15/2023			53	468
16ENT-0112	1665	Appian Way	3-Unit Condos	OF	8/16/2023				2
23ENT-0106	2615	26th St	SB9 Duplex	R1	8/3/2023				2
Total						7	8	73	756

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